

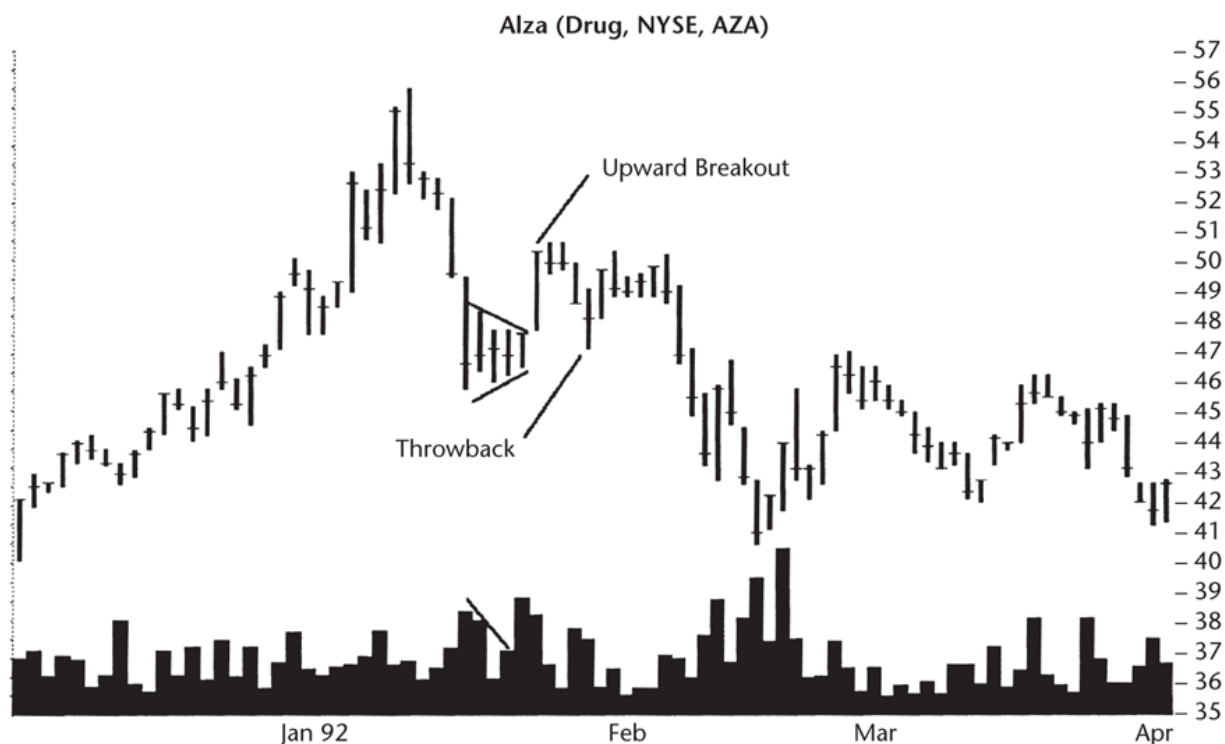


Figure 48.4 This pennant looks like a small symmetrical triangle. Price breaks out upward, throws back to the formation, and heads lower.

Statistics

To measure performance, I used the short-term trend start and trend end. See [Figure 48.3](#) for the labels of the two. I did not look for the ultimate low/high and a 20% price change, but stopped when the price trend ended at a minor low or high. I wanted to see if pennants acted as half-staff patterns. Notice how the pennant in the figure is almost in the middle of the downward price trend located by the Trend Start and Trend End labels. The pennant shows how they *should* behave.

[Table 48.2](#) shows general statistics for pennants.

Number found. I found 2,106 pennants in 734 stocks with the first found in October 1991 and the most recent in December 2019. Not all stocks covered the entire period, and some no longer trade.

Reversal (R), continuation (C) performance. Most of the pennants act as continuations of the prevailing price trend. That means price drops into the pattern and exits down, or the reverse, an upward trend and upward